

Reasonable Royalty Method in IP Damages: an overview

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Introduction

When companies find themselves in court over intellectual property rights, one of the core questions includes that of damages. Among the various methods for forensic accounting, the reasonable royalty method stands out as a preferred choice. In fact, per statute (35 U.S.C. §284) it is seen as one of the best ways to determine damages in intellectual property infringement cases. This brief talks about reasonable royalty method, the way it's used in practice, and some of the difficulties that come up in the process. Unlike the difficult-to-measure damages in loss profits cases, the reasonable royalty method is based on the simple idea of what would happen in a negotiation between the two sides. The guarantee is that the patent holder will always receive some form of damages, even in cases where they are unable to prove loss.

The Core Idea

The whole process is based on a simple question: What would a willing buyer (licensee) and a willing seller (licensor) agree upon just before the infringement started? It is not about compensating the patent holder for the infringement; it is about making them whole. The equation is simple:

$$\text{Damages} = \text{Royalty Base} \times \text{Royalty Rate} \times \text{Time}$$

The base is generally the revenue generated by the infringer from that product, and the rate is generally the percentage that would have been paid. It is often seen as objective and market-based, rather than arbitrary.

The Georgia-Pacific Factors

The key guidance on determining that rate is in a 1970 case called Georgia-Pacific Corp. v. U.S. Plywood. The court established 15 factors that are still in use today. Some of the key ones are:

Royalties for similar patents – what is the going rate in the industry? The importance of the patent – was it a game-changer or just a minor tweak? Amount of use of the patent by the infringer – was it the feature that made the product a must-have for the consumer?

What is nice about the 15 factors is that they make one consider the entire picture, not just the hard numbers but the hard realities behind them.

If we walk through an example of the process in an engagement, there are typically three steps. First, there is the determination of the royalty base. The trick is to determine the revenue that is actually related to the patent. If Adobe Photoshop has a feature that uses artificial intelligence that is patented. We would want to determine the revenue related to that feature, not the entire software package.

Then there is the rate. We might use data from a database like ktMINE to determine the rate for similar licenses. We might then adjust that rate up or down depending upon the Georgia-Pacific factors.

Finally, you discount it back if you think that this royalty would have been paid out over a period. The 8-12% WACC falls as a general range subject to the industry.

Where It Gets Tricky

The approach is nice and simple in theory, but of course, there are several problems with this approach.

Subjectivity: The 15 factors are great, but they are also somewhat subjective. Two experts could look at a situation and end up with vastly different numbers. The solution is to use real numbers – actual licenses.

Hindsight bias: It's easy to look at how successful a product became and assume the patent was worth more than it really was at the time of negotiation. One must be careful about this, so you must stick to what people knew then, not what we know now.

Apportionment: This is probably the toughest part. Figuring out how much of the revenue belongs to the patent versus everything else – brand, manufacturing, other features – is never straightforward. Cases like *Lucent v. Gateway* have shown how messy it can get.